SECURING NEW INVESTMENTS: A SCALE-UP'S GUIDE

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Introduction

Scaling a small business with the help of investment is a proven strategy for fast growth and success in many companies, but often the initial step is the hardest—knowing how to get investment in the first place.

Although sound financials are crucial for investment, it's often other aspects where businesses can let themselves down. After conducting research and hosting a series of Private Equity (PE) and scale-up events, we've gathered some of our most valuable findings and advice from key financiers that you can find in this guide.

Data and Metrics: What Investors Want to Know About Your Business

To measure is to know. For investor and company owner alike, it's difficult to overestimate the power of up-to-date, real-time, cross-functional intelligence.

Data informs investment decisions, it demonstrates maturity and it is an essential marker for accelerated growth. The technology that underpins it is an essential tool for value creation.

Indeed, so rare is it to find fully-scoped business metrics among start-ups and scale-ups being considered for investment, private equity specialists have expressed their surprise when they do come across useful data. "Whenever I see cash flow statements, I always think this is a good start," noted Thomas Studd, partner at Vitruvian Partners, at a recently convened NetSuite event that put PE investors in touch with founders and owners.

Given the weight applied to data, what are the key metrics a likely investment prospect should be able to produce? Here's what some of the UK's leading Private Equity (PE) specialists told us:

1. The essentials

   "The metrics depend on the business you run," said Vitruvian Partner's Thomas Studd. But beyond the specifics, he adds: "If I was introduced to a company, I'd want to know what the P&L (Profit and Loss) statement looks like. I'd want to know top line growth, churn in the customer base and the upsell. If you were to tell me that, I'd have a pretty good perspective."

2. The payroll

"Aggregate payroll data is helpful because you can compare it to various benchmarks," said Jack Alcock, Investment Director at Permira. Rob Foreman, Chief Investment Officer, Primary Capital Partners, agreed, pointing to salaries. "How much of it is fixed? How many businesses do we find that haven't had a pay rise for a few years, where the staff say, 'We were promised a pay rise when the business was sold.'" That imminent strain on payroll can have a direct impact on future growth plans.

3. The salesforce

"One area where we might spend a little bit of time is around the salesforce," said Permira's Jack Alcock. "What is the efficiency of your salesforce? How much is your salesforce being paid versus how much revenue is being brought in? What is the acquisition cost per customer in terms of amount of sales person time it has taken? How much sales compensation is variable versus fixed?"

"Ultimately, you could then benchmark this across a wide range of companies so you could tell relatively quickly whether things are way out of whack, and whether your people are overpaid or underpaid," Alcock said. "It's really valuable data because your sales people are the people who drive the top-line."

4. The customer

Provide Vitruvian Partner's Thomas Studd with as much information on your customers as you can and you're likely to impress. What is the value of each customer? What is the likely upsell value? If a customer is worth £100 in year one will the same customer be worth £110 or £80 in year three? By attributing value to each customer—or cohorts of customers—the investor has a better view on future potential and the company will know where it should be concentrating its efforts.

5. The top line (not the bottom line)
Broadly, private equity firms are less interested in indicators of cost cutting than they are in data that points to top-line growth. "There's probably a slight bias towards measures of revenue growth and what that says about the market," said Lewis Bantin, partner at ECI Partners. "We're all here because we're investors in growth," noted Permira's Jack Alcock. "We're not people who go into a business and say that your EBITDA (a measure of a company's operating performance) margin could be 10 percentage points higher if you cut out all of your sales people. It's not how we operate."

Technology can Drive Investor Value Creation for Start-ups and Scale-ups

There's no question that projections, market analysis, product demos and marketing campaigns are key to getting the attention of a Private Equity (PE) investor, but is it enough? Initially, the answer is probably yes. For the long-term, more and more of those same investors are pointing to an increased reliance on a range of value-generating tools necessary in today's investment environment.

Judging by conversations at a recent NetSuite event putting PE investors in touch with founders and owners, one of those tools essential for investor value creation is technology. Start-ups and scale-ups, take note: This is not fake news.

"We used to rely on leverage," said Rob Foreman, Chief Investment Officer at Primary Capital Partners, a PE investment specialist. "Today, I'm no longer able to count on buying well and selling well in the way that I might have been able to do, say, 10 years ago."

The result, he says, means either an increased focus on fast growth businesses in which to invest, or active value creation. Smart investors are devoting more and more time to the latter. Foreman was speaking at a NetSuite event aimed at helping start-up and scale-up companies better understand the investment community.

There are many ways to slice and dice value creation tools and techniques. Foreman places them into four broad categories: structural, revenue growth drivers, good housekeeping and professionalisation.

- Structural: activity such as roll-outs, carve-outs, acquisitions and internalisation.
- Revenue Growth Drivers: new product development, customer acquisition, retention and upsell, channel expansion, and pricing strategy.
- Good Housekeeping: efficiency through cash management, cost reductions and sales performance improvements.
- Professionalisation: management bandwidth, succession planning, management information systems development and systems implementation.

It's under professionalisation that you'll find technology as a facilitator, driver and measure of business growth.

Technology allows for three things. It fosters efficiency, enables faster and more effective decision-making and demonstrates business maturity. Let's take each in turn.

First, a good technology platform is the basis for operational efficiency, delivering a single and consistent view of business activity. It helps identify inefficiencies, smooths the

path to investment and provides visibility during mergers, acquisitions and carve outs.

Second, technology enables effective decision-making. “Lots of businesses have lots of data they don’t use. It’s about trying to get dashboards for easier management decision making,” noted Primary Capital Partners’ Rob Foreman. That’s why MIS development matters. Customer churn, incremental product development costs and customer acquisition costs are all dashboard KPIs (Key Performance Indicators) that aid informed decision making at speed. Without these, investors and owners are flying blind.

Third, technology is a useful proxy indicator of business maturity, an illustration that founders and owners understand the information needs of investors.

“It’s surprising how rarely there are proper financial numbers available,” said Thomas Studd, Partner at Vitruvian Partners, another private equity specialist. “It’s quite rare that I see a business plan that has a cash flow forecast. So whenever I do see cash flow statements I always think it’s a good start.”

Think back to those other value creation tools and techniques and it’s clear that technology plays a role there too. For example, technology allows the business to measure cash management, effectiveness of cost reduction, retention, upsell and the cost of customer acquisitions, to name but five.

The data good technology spawns cuts across traditional company siloes and draws on the synergies between traditional departmental metrics. That’s why at NetSuite we’ve created a unified, fully integrated system that combines financial accounting, Enterprise Resource Planning (ERP), Customer Relationship Management (CRM), Professional Services Automation (PSA) and Ecommerce. And because they are cloud-based, data and dashboards can be shared by functional heads and investors alike.

Our track record suggests that we can deliver the value creation discussed here. For example, we've proved the start-ups and scale-ups subject to investment can cut order-to-cash cycle by 50%, and accelerate financial close by 20-50%. They can also reduce audit preparation by 50%, invoicing costs by 25-75% and Days Sales Outstanding (DSO) by 10-20%. Finally, they can reduce IT costs by 50%, a vital material saving to the bottom-line.

For private equity investors looking to create value and for start-ups and scale-ups looking to demonstrate future growth, it appears that technology is a good place to start.

Words of Wisdom from Private Equity Specialists

One of the most enriching forums NetSuite has held this year was an evening of owner and investor matchmaking with private equity specialists and owners and founders of start-ups and scale-ups in London. Out of the event, we gleaned some incredible knowledge and advice that is truly beneficial for start-up and scale-up communities.

Volatility is something you have to price in

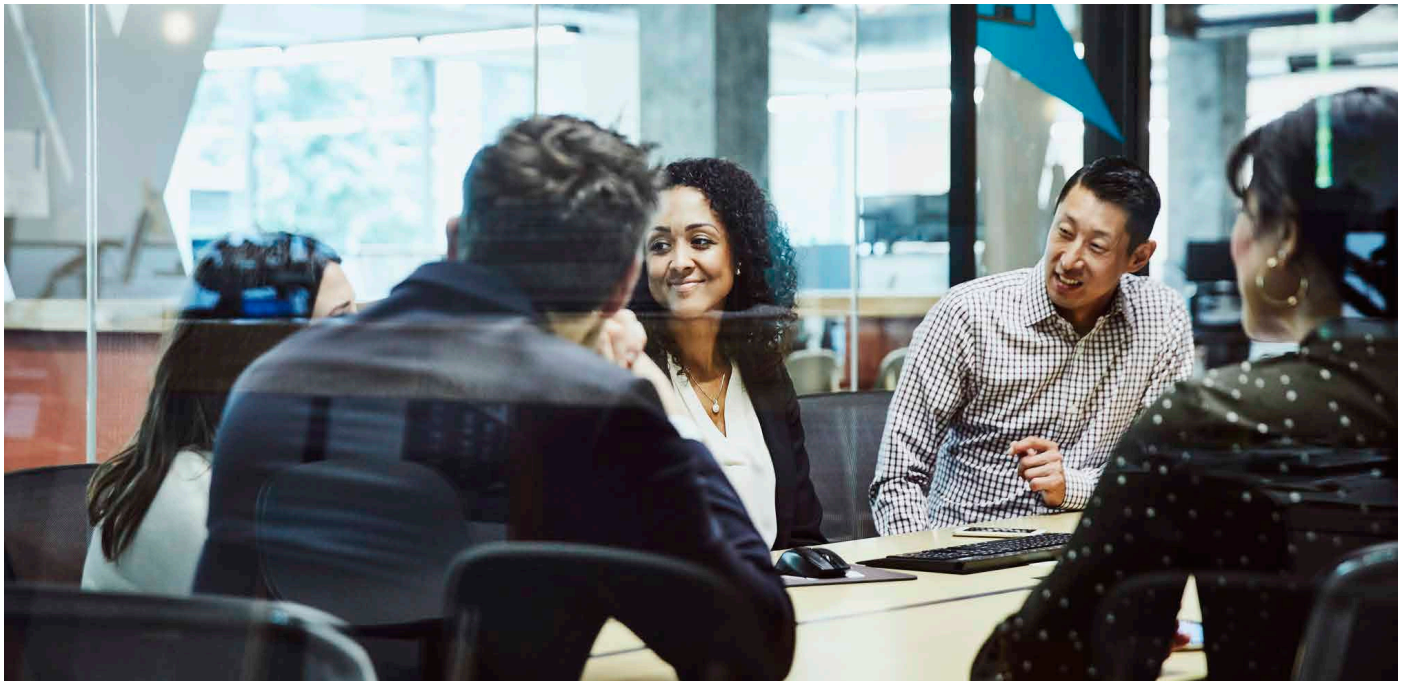
The UK's decision to leave the European Union means volatility has become the new normal. Asked how Brexit should inform investment decisions, Rob Foreman, Chief Investment Officer at Primary Capital Partners put it like this: "Our job is to invest capital over the next five years. And we need to do that irrespective of what is happening with Brexit. So, of course, we're wary about those things that will be affected, like currency, but at the same time our job is to take measured risks and find investments." Because foreign exchange is changing so quickly, the valuation of businesses becomes more difficult to ascertain. "That can be quite challenging," Foreman said, noting that a weak pound can be a positive too. "If the world was totally set and not volatile our jobs would be very boring," added Jack Alcock, investment director at Permira. "Volatility is something you have to price in."

Location really does matter – UK investment is as good as any

Should start-ups and scale-ups go across the Atlantic for funding or stay closer to home? "It's something we fight against a lot," noted Lewis Bantin, partner at ECI Partners. "We win some battles on that front and lose them. Where we've lost them it's because the founder felt that ultimately the exit was going to be in the United States. Rationally that can be quite a hard battle to fight but equally they are choosing a partner for four or five years. Where we've won battles it's because founders want to work with someone who is here, where they can get decisions taken quickly rather than refer to Washington or New York." Thomas Studd, partner at Vitruvian Partners agreed. "We compete against US funds all the time and a very powerful selling point, particularly for entrepreneurs in the south east (of England), is that I'm just a 20-minute drive away. I can be over this afternoon rather than conference calls and slow decision-making. That's a massive, massive difference."

Technology can help drive value creation

As we've explored in a previous section, technology has a central role in the evolution of entrepreneurial businesses. Deploying IT platforms fosters efficiency, enables faster and more effective decision-making, and demonstrates business maturity. And make



no mistake: investors consider it a pre-requisite for accelerated growth. That's why a business management system is an essential part of the tool kit to measure and track your business's Key Performance Indicators (KPIs).

Prepare with data, difficult questions are coming

Speaking of KPIs, it also pays to come to investment meetings armed with data. "Companies are often surprised that people like me really ask difficult questions and want to see the data," said Vitruvian Partners' Thomas Studd. By way of example, he'll expect to see individual transaction data as well as cohort data. "Preparation is extraordinarily important. And it's not just important to make the investor happy—it's really important data to help you run the business." For more information on data, refer back to the first section where we identified the key measures and metrics PE specialists look for in a start-up or scale-up business.

'Chemistry is more important than money.'

"It's easy to think that our industry is just about providing money to people," said Jack Alcock, Investment Director at Permira, "but ultimately if someone is investing in your business, they become your partner and they are the people who are going to speak to you for the next four, five years. The chemistry is ultimately much more important than the money itself. There's a huge amount of money floating about. There's a much more limited number of nice, interesting people you actually want to work with."

Efficiency matters, but growth is the key word

Investors will be looking for evidence of a well-run business and an indication that at least one eye is on the bottom line. But ultimately, private equity partners want to invest in a business that demonstrates growth potential. "The nice thing about being in a venture capital/private equity scenario," said Jack Alcock at Permira, "is that we are people who take a five-year view on where the business is going. If that means you have to invest today for revenue that will come in three, four, five years' time, that's absolutely fine with us because that's how we think about things, too."

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